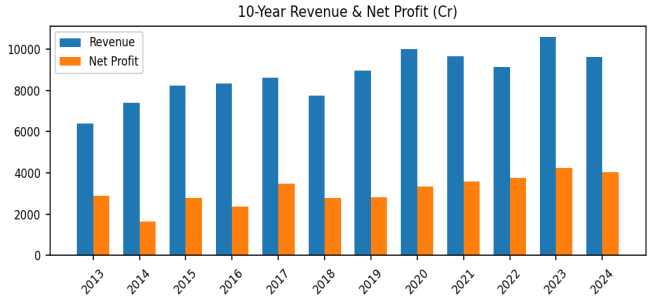
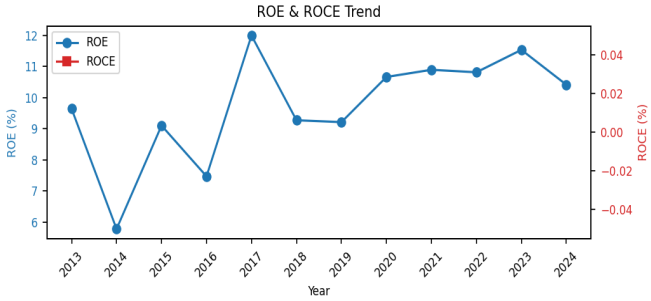
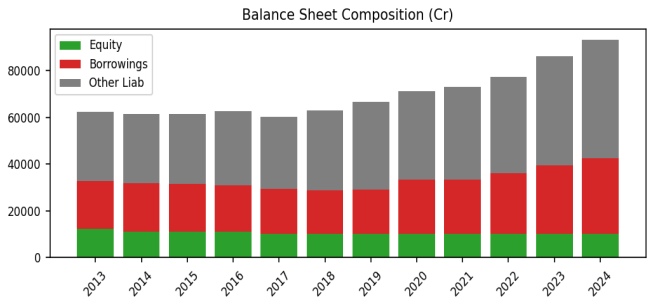
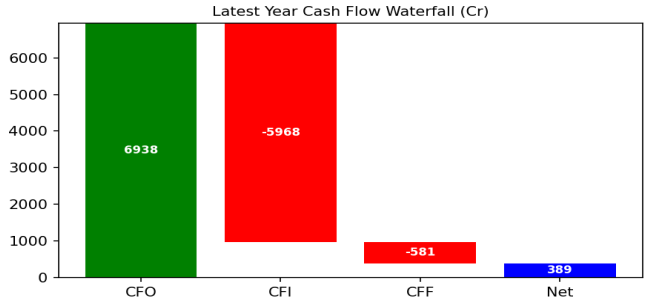
NHPC Ltd (NHPC)

Revenue	Net Profit	Total Equity
■9632Cr	■4028Cr	■1.0T
ROE	**ROCE**	**D/E**
10.4%	-	0.84x









Pros	Cons
• Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (Conf: 80%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%) • Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (Conf: 75%)

Capital Allocation Pattern: Shareholder Returns